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Japan Electrical Equipment and Semiconductors

Feedback from our Asia investor tour

CITI'S TAKE

The main points of discussion in our meetings with Hong Kong investors during July 20-24 were the thinking on Kioxia Holdings, and the outlook for April-June results. Regarding demand prospects in the memory and data center spaces, we continued to hear some bullish views but the response to the positive news flow during our tour was muted and we got the sense that investor sentiment is cooling on AI- and data center-related names. We have Buy ratings on Hitachi and Casio Computer as names with low AI-related exposure. Our preferred names for the upcoming earnings season are Kioxia, Mitsubishi Electric, and Hitachi.

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Kioxia/AI-related — As Kioxia shares fell c50% from a June 22 high of ¥112,700, we found a notable number of investors were still bullish on the fundamentals outlook in the first part of the week, mostly ascribing the fall to memory share deleveraging centered on Korea. Later in the week however, concern was expressed about the memory supply/demand outlook from 2027 H2. Also, the July-September NAND price consensus was a QoQ increase of c20% and many investors thought positive surprises were probably unlikely with April-June results. Investors were wary on the near-term share prices of companies that have been seen as AI-related names (this includes Kioxia, Renesas Electronics, and Panasonic Holdings in our coverage) and some spoke of reducing AI-related exposure. Our NAND sector view is that supply shortages will continue in 2026-2027 given significant growth in demand in the data center KV cache space.

April-June results outlook/company-specific issues — We are bullish on Kioxia, Mitsubishi Electric, and Hitachi for [the April-June earnings season](#). On Mitsubishi Electric, investors expected solid earnings centered on factory automation while many hoped for a formal deconsolidation announcement for automotive equipment. On Hitachi, investor interest was by no means high again but some expected an April-June earnings beat. We are bearish on April-June results for Sharp, Panasonic, Fuji Electric, and Socionext. Many investors were bearish on Sharp and Socionext. For Panasonic, energy and industrial segment earnings were seen as the results focus, while the medium-term Blue Yonder outlook was seen as an issue. On Fuji Electric, the share price has fallen recently and investors did not perceive April-June results as much of a risk. For the long term, we heard some concern about data center UPS business. Otherwise, we found upbeat views on Renesas based on inventory cycle upturn. There was little interest in Casio or Meidensha, in part because April-June is off-season (demand).

Companies Mentioned:

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Casio Computer (6952.T; ¥1720.5; 1; 24 Jul 26; 15:30) | Fuji Electric (6504.T; ¥12925.0; 1; 24 Jul 26; 15:30) | Hitachi (6501.T; ¥4850.0; 1; 24 Jul 26; 15:30) | Kioxia Holdings (285A.T; ¥56010.0; 1H; 24 Jul 26; 15:30) | Meidensha (6508.T; ¥9020.0; 2; 24 Jul 26; 15:30) | Mitsubishi Electric (6503.T; ¥5650.0; 1; 24 Jul 26; 15:30) | Panasonic Holdings (6752.T; ¥3883.0; 1; 24 Jul 26; 15:30) | Renesas Electronics (6723.T; ¥3928.0; 2; 24 Jul 26; 15:30) | Sharp (6753.T; ¥586.8; 3; 24 Jul 26; 15:30) | Socionext (6526.T; ¥2392.5; 1; 24 Jul 26; 15:30)

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